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Case Number: 25STCV38275 Hearing Date: June 23, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion to Compel Arbitration

The Motion to Compel

Arbitration filed by Defendants is

granted.

BACKGROUND

Plaintiffs Aria Fallah, Aryanik Fallah (a minor, by and

through Guardian Ad Litem Aria Fallah), Ayla Kiana Fallah (a minor, by and

through Guardian Ad Litem Aria Fallah), and Sahar Rodfar (collectively

“Plaintiffs”) filed this action against Defendant Rochelle H. Sterling,

individually and as trustee of the Sterling Family Trust; Beverly Hills

Properties, LLC; and Does 1 through 50 (collectively “Defendants”) alleging

that Defendants owned and managed the residential property at 10390 Wilshire

Blvd., Unit #1409, where Plaintiffs resided, and that Defendants failed to

maintain the premises in a habitable condition. Plaintiffs allege the unit suffered from persistent water leaks, intrusion, excessive moisture, toxic mold, inoperable air conditioning, unsanitary plumbing, missing bathroom fixtures, and other dangerous code violations, which Defendants failed to remedy despite notice and despite multiple citations from local authorities. Plaintiffs assert that these conditions caused them physical injuries, emotional distress, property damage, and economic losses, and that Defendants' conduct was reckless, oppressive, and intended to interfere with Plaintiffs' lawful tenancy and quiet enjoyment of the property.

The causes of action in the First Amended Complaint (FAC) are: (1) Breach of Implied Warranty of Habitability; (2) Negligence; (3) Nuisance; and (4) Tenant Anti-harassment Ordinance Violations.

Defendants filed a Motion to Compel Arbitration. Plaintiffs filed an Opposition.

LEGAL STANDARD

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists…." (Code Civ. Proc. § 1281.2.) "The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 (Pinnacle).) A

party meets its initial burden simply by reciting the terms of the governing provision, or by attaching a copy of the provisions. (Sprunk v. Prisma LLC (2017) 14 Cal.App.5th 785, 793.) Once the petitioner meets its burden, “the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

ANALYSIS

I. Arbitration Agreement

Here, Defendants meet their initial burden by attaching a

copy of the lease that contains an arbitration provision in paragraph 36 (the Arbitration Agreement). (Sitchon Decl. ¶ 2, Ex. 1 ¶ 36.) The Arbitration Agreement provides “[a]ny claims for personal injuries, directly or indirectly relating to or arising out of the condition of the leased premises,” including claims based on negligence, strict liability, or breach of the warranty of habitability, “shall be submitted to and decided by binding arbitration” under the rules of the American Arbitration Association (AAA). (Sitchon Decl. ¶ 2, Ex. 1 ¶ 36.)

Plaintiffs do not dispute that the adult Plaintiffs signed the lease, that their four causes of action arise from the alleged condition of the premises and the resulting personal injuries, or that those claims fall within the Arbitration Agreement. The operative complaint further alleges that the minor Plaintiffs were third-party beneficiaries of the agreement. (FAC ¶ 20.) Defendants have therefore met their initial burden, and the burden shifts to Plaintiffs to establish a defense to enforcement.

II. The FAA Applies

As an initial matter, the Court must determine whether the Arbitration Agreement is governed by the Federal Arbitration Act (FAA) (9 U.S.C. §§ 1–16).

The FAA governs an arbitration provision in “a contract evidencing a transaction involving commerce.” (9 U.S.C. § 2.) The phrase “involving commerce” is “the functional equivalent of” the phrase “affecting commerce,” which normally “signals Congress’s intent to exercise its commerce power to the full.” (Allied-Bruce Terminix Cos. v. Dobson (1995) 513 U.S. 265, 273-274 (Allied-Bruce).) The FAA applies whenever a transaction in fact involves interstate commerce, regardless of whether the parties contemplated as much. (Id. at pp. 277-278, 281.)

The United States Supreme Court has held that “[t]he rental of real estate is unquestionably” an activity affecting interstate commerce, explaining that “the local rental of an apartment unit is merely an element of a much broader commercial market in rental properties,” and that the power to regulate that class of activity “includes the power to regulate individual activity within that class.” (Russell v. United States (1985) 471 U.S. 858, 862 (Russell).) It does not matter that this particular lease, standing alone, may bear only a modest connection to interstate commerce; the FAA reaches an individual transaction within a class of activities that affects commerce in the aggregate, without any showing that the single transaction substantially affects commerce by itself. (Citizens Bank v. Alafabco, Inc. (2003) 539 U.S. 52, 56-57.) Applying Russell, several federal district courts have treated the rental of residential real estate as an activity that affects interstate commerce as a matter of law and have applied the FAA to residential leases. (See Jabour v. Hickam Communities, LLC (D.Hawaii 2024) 749 F.Supp.3d 1112; Cho v. Casnak LLC (C.D.Cal. Sept. 7, 2022, No. 2:22-CV-04642-JLS-AFM) 2022 WL 16894869; Turnipseed v. APMT, LLC (E.D.La. Nov. 14, 2018, No. CV 18-5187) 2018 WL 5977889.) Here, the residential lease is a contract involving commerce, and the FAA applies.

Plaintiffs' arguments to the contrary are not persuasive.

Plaintiffs contend that the FAA does not apply because the lease does not reference the FAA; Plaintiffs did not lease through Section 8 or any federal program; and their claims raise no federal question. None of these is a prerequisite to FAA coverage. Whether the FAA applies turns on whether the contract involves interstate commerce—which, under Russell, a residential lease does—not on whether the parties invoked federal law, received a federal subsidy, or pleaded a federal claim. (Allied-Bruce, supra, 513 U.S. at pp. 273-274; Russell, supra, 471 U.S. at p. 862.)

Nor is there any merit in Plaintiffs' argument that, because the lease does not reference the FAA, the FAA does not apply. For this point, Plaintiffs principally rely on Mastick v. TD Ameritrade, Inc. (2012) 209 Cal.App.4th 1258 (Mastick), but Mastick is a choice-of-law case and does not support Plaintiffs' argument. The contract in Mastick contained an express provision that the agreement would "be governed by the laws of the State of California," and the court held only that parties may, through such an express choice-of-law clause, contract out of the FAA even as to an agreement involving interstate commerce. (Id. at p. 1264.) The same was true of the authorities Mastick followed. (See Volt Info. Sciences v. Leland Stanford Jr. Univ. (1989) 489 U.S. 468 (Volt);

Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376.)

Indeed, Mastick expressly noted that "[t]he FAA does preempt state law … when the parties have not so agreed." (Mastick, supra, 209 Cal.App.4th at p. 1261.)

Here, the lease contains no choice-of-law provision selecting California law, and therefore, the FAA applies under the default transaction involving commerce rule.

III. The FAA Preempts

Civil Code Section 1953, subdivision (a)(4)

Under section 2 of the FAA, an arbitration agreement in a contract involving commerce is "valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The FAA "preempts state laws which 'require a judicial forum for the resolution of claims which the contracting parties agreed to resolve by arbitration." (Pinnacle, supra, 55 Cal.4th at p. 235, citing Volt, supra, 489 U.S. at p. 478.) "'[T]he FAA pre-empts state laws which "require a judicial forum for the resolution of claims which the contracting parties agreed to resolve by arbitration."' [Citations.]" (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 235.) A court "may not … invalidate arbitration agreements under state laws applicable only to arbitration provisions." (Doctor's Assocs. v. Casarotto (1996)

517 U.S. 681, 687.) And “[w]hen state law prohibits outright the arbitration of a particular type of claim, the analysis is straightforward: The conflicting rule is displaced by the FAA.” (AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 341 (Concepcion).)

Civil Code section 1953, subdivision (a)(4) voids as contrary to public policy any provision of a residential lease by which a tenant agrees to waive “his procedural rights in litigation in any action involving his rights and obligations as a tenant.” As construed in Jaramillo v. JH Real Estate Partners, Inc. (2003) 111 Cal.App.4th 394 (Jaramillo), that language means that a tenant “cannot validly agree, in a residential lease agreement, to binding arbitration to resolve disputes regarding [their] rights and obligations as a tenant.” (Id. at pp. 403-404; accord Harris v. University Village Thousand Oaks CCRC LLC (2020) 49 Cal.App.5th 847, 852 (Harris).) As applied to an agreement involving interstate commerce, that rule is preempted, and the agreement must be enforced. (Concepcion, supra, 563 U.S. at p. 341; Pinnacle, supra, 55 Cal.4th at p. 235.) The only court to have addressed the precise question has reached the same conclusion. (See Brooks v. Greystar Real Estate Partners, LLC (S.D.Cal. July 19, 2024, No. 23CV1729-LL-VET) 2024 U.S.Dist. LEXIS 128026.)

Plaintiffs are correct that Jaramillo, Harris, and Williams v. 3620 W. 102nd Street, Inc. (2020) 53 Cal.App.5th 1087 (Williams) have each applied Civil Code section 1953, subdivision (a)(4) to void an arbitration clause in a residential lease and have not been overruled. However, none of those cases decided the question presented here, whether the FAA preempts section 1953, subdivision (a)(4) as to a lease involving interstate commerce.

Jaramillo and Harris analyzed section 1953, subdivision (a)(4) solely as a matter of state law. Neither opinion mentions the FAA, addresses interstate commerce, or considers preemption. They are, therefore, not authorities on the preemption question. (See Mattson Technology, Inc. v. Applied Materials, Inc. (2023) 96 Cal.App.5th 1149, 1162 [“Cases are not authority for propositions not considered”].)

Not only did the Williams court not address FAA pre-emption, it expressly stated that its “analysis is solely under state law,” that “[t]he Owners do not assert federal law applies,” and that it did “not address whether, under federal law, the arbitration agreements would be void.” (Williams, supra, 53 Cal.App.5th at pp. 1091, 1093.) The court did not reach preemption because the landlord conceded the FAA did not apply and made no showing of any effect on interstate commerce. (Id.

at p. 1091.) In declining to reach the issue, Williams set out the governing rule: “When it applies, the [FAA] preempts state law,” and the party seeking to enforce the agreement “has the burden of showing the case affects interstate commerce, which is the prerequisite for the federal act’s application.” (Ibid.) Unlike the landlord in Williams, Defendants assert the FAA, have not conceded its inapplicability, and have made the required showing.

IV. The Minor Plaintiffs

Are Third-Party Beneficiaries

Plaintiffs argue that the minor Plaintiffs’ claims cannot be compelled because the minors were non-signatories and because Family Code section 6710 permits a minor to disaffirm a contract, and that compelling only the adults’ claims would create a risk of conflicting rulings under Code of Civil Procedure section 1281.2, subdivision (c). The premise fails. The Complaint alleges that the minor Plaintiffs were third-party beneficiaries of the lease (Compl. ¶ 20) and are named in the lease as authorized occupants of the unit (Sitchon Decl., Ex. 1 ¶ 6), and a parent may bind a minor child to arbitrate claims arising out of a contract the parent enters on the child’s behalf, including as a third-party beneficiary. (Pietrelli v. Peacock (1993) 13 Cal.App.4th 943, 947; Hohe v. San Diego Unified School Dist.

(1990) 224 Cal.App.3d 1559, 1564-1565.) Family Code section 6710 permits disaffirmance of a contract made by a minor but does not bar a parent from binding a child through the parent’s own contract. Because the minor Plaintiffs are bound along with the adult Plaintiffs, all claims proceed to arbitration, no claim remains in this Court, and there is no risk of conflicting rulings. Moreover, where the FAA governs, the discretion conferred by section 1281.2, subdivision (c) is unavailable. (See Gloster v. Sonic Automotive, Inc. (2014) 226 Cal.App.4th 438, 446 [“Because the Federal Arbitration Act (9 U.S.C. § 1 et seq.; FAA) contains no provision analogous to section 1281.2, subdivision (c), that subdivision cannot be applied to deny the enforcement of arbitration clauses governed by the FAA”].)

V. Unconscionability

Like any other contract, arbitration agreements are subject to a defense of unconscionability. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 113 (Armendariz).) “The ‘general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.’ [Citations.] Unconscionability has both a procedural and a substantive element. [Citation.]

The party resisting enforcement of an arbitration agreement has the burden to

establish unconscionability. [Citation.]" (Ramirez v. Charter

Communications, Inc. (2024) 16 Cal.5th 478, 492 (Ramirez).)

"""The prevailing view is that [procedural and substantive

unconscionability] must both be present in

order for a court to exercise its discretion to refuse to enforce a contract or

clause under the doctrine of unconscionability." [Citation.] But they need not be present in the same degree. "Essentially a

sliding scale is invoked which disregards the regularity of the procedural

process of the contract formation, that creates the terms, in proportion to the

greater harshness or unreasonableness of the substantive terms themselves."

[Citations.] In other words, the more substantively oppressive the contract

term, the less evidence of procedural unconscionability is required to come to

the conclusion that the term is unenforceable, and vice versa.' [Citation.]" (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237,

1243-1244 (Baltazar).)

Procedural unconscionability includes oppression arising from unequal

bargaining power that causes an absence of meaningful choice and genuine

negotiation, and surprise due to hidden terms drafted by the party seeking to

enforce the provisions. (Gatton v. T-Mobile USA, Inc. (2007) 152 Cal.App.4th 571, 581.)

Substantive unconscionability focuses on the actual terms of the agreement and

evaluates whether they create overly harsh or one-sided results as to shock the conscience. (Suh v. Superior Court (2010) 181 Cal.App.4th 1504, 1515 (Suh).)

A. Procedural

Unconscionability

The Court concludes that the Arbitration Agreement contains a modest amount of procedural unconscionability because it is a contract of adhesion.

"'The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.' [Citation.]" (Armendariz, supra, 24 Cal.4th at p. 113.)

Plaintiffs establish that the lease was a form agreement offered on a take-it-or-leave-it basis. (Fallah Decl. ¶ 10; Rodfar Decl. ¶ 10.) "'Ordinary contracts of adhesion, although they are indispensable facts of modern life that are generally enforced [Citation.], contain a degree of procedural unconscionability even without any notable surprises, and "bear within them the clear danger of oppression and overreaching."

[Citation.]' [Citation.]" (Baltazar, supra, 62 Cal.4th at p. 1244.)

However, no additional procedural unconscionability arises from the fact that Plaintiffs were never informed that they were being asked to agree to arbitrate all of their affirmative claims against Defendants. The party of superior bargaining strength is “under no obligation to highlight the arbitration clause of its contract” or to otherwise specifically call attention to it. (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 914.) Moreover, “even when a customer is assured it is not necessary to read a standard form contract with an arbitration clause, ‘it is generally unreasonable, in reliance on such assurances, to neglect to read a written agreement before signing it.’ [Citation.]” (Id. at p. 915.) Nor were Defendants under any obligation to advise Plaintiffs to consult with an attorney before signing. Finally, while pressuring the weaker party to sign a contract quickly, without time to read it or consult an attorney, may constitute oppression (see OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 127-128), Plaintiffs fail to present evidence of strict time pressure. The conclusory statement that Plaintiffs were “never given the opportunity to review the lease agreement with any independent counsel” (Fallah Decl. ¶ 10; Rodfar Decl. ¶ 8) does not explain how long they were given to sign the documents, nor do they indicate that they asked and were refused more time. Accordingly, the Arbitration Agreement contains only the degree of pre-contractual unconscionability intrinsic to a contract of adhesion.

B. Substantive Unconscionability

Plaintiffs assert that the lease is substantively unconscionable because Defendants' claims are "carved out," Plaintiffs will have to cover costs in the arbitration that exceed court costs, and there is no ability to select a neutral arbitrator. But nothing in the arbitration provision confirms these allegations. The agreement states the parties will arbitrate under AAA rules; it does not state any of the purportedly offending provisions asserted by Plaintiffs. In contrast, in Jaramillo, the Court of Appeal concluded that the arbitration provision was substantively unconscionable because personal injury claims subject to arbitration had to be made within 180 days after the claim arose and the fees and costs for arbitration had to be paid before arbitration commenced. (Jaramillo, 111 Cal.App.4th at 405-06.) Plaintiffs have not and cannot point to any similarly substantively unconscionable terms in the lease here. The arbitration agreement therefore is valid.

CONCLUSION

Defendants' Motion to Compel Arbitration is granted.